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ROCKWOOL A/S (ROCK.B.DK)

Analyst Meeting - ESG

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MANAGEMENT DISCUSSION SECTION

Thomas Harder
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Ladies and gentlemen, welcome to the conference call on ESG Topics and the ROCKWOOL Sustainability Report 2021. My name is Thomas Hardy. I'm Director of Group Treasury and Investor Relations of Rockwool International. Today, I'm pleased to present CEO, Jens Birgersson; SVP Group Marketing, Communication and Public Affairs, Mirella Vitale; and Director of Public Affairs and Sustainability, Anthony Abbotts.

For the first part of this call, all participants will be in a listen only mode. As a reminder, this conference call is being recorded. First we go through our presentation of today's ESG Topic, The ROCKWOOL Sustainability Report of 2021. Afterwards, we will be ready to answer all your good questions. Mirella, I'll now hand over the words to you.

Mirella Vitale
SVP-Group Marketing & Communications, ROCKWOOL A/S

Good afternoon, everybody. I will just briefly walk you through the agenda for today. So we'll start with a message from Jens Birgersson, our CEO. He will also go through the main highlights of our year 2021 in terms of sustainability. Then, we'll hand the word over to Anthony, Head of Group Sustainability. He'll give you an update on our sustainability progress and basically present to you what you've already seen in our Sustainability Report that we recently released. Then I will take the word and give you an update on how we see the EU policy development and the EU Green deal, including the legislative packages that have been released from the FIT for 55 package. And then we'll wrap up with sort of outlook to the future and make sure that we give you all ample time for the Q&A at the end of the presentation.

So now I'll hand over the words to Jens. He'll do the brief introduction.

Jens Birgersson
Chief Executive Officer

I'm sorry. Hello,

Unverified Participant

I'm sorry. Hello? Okay. Sorry, I hope you can hear me now. Hi, everyone. It's [indiscernible] (00:02:08) here. And we stated all the time that to meet the Paris climate goals and deliver on those commitments, you need to do

energy efficiency. And we have also stated many, many times that about a third of the global CO2 emissions come from the built environment in Europe, more than that, around 42%. We have talked about that all the time. And if you look back at last year, 2021, what we have tried to focus on and that has been to talk about what will happen now the next year, three years, five years. And our external engagement have been pretty much focused on that. The reason we felt that was an important focus area for Rockwool was that it's very easy to make pledges and play the pledge game about what happens in 2050. But what's needed now is to get to work and start to do something. And the EU have two directives. They are not finalized yet, but they are quite advanced stage. The one is called the Energy Efficiency Directive and the second one is called Energy Performance or Business Directive. They are all related to energy efficiency and we are very happy when we look at or at least where we encourage if this goes through, we see now that all the long-term talks starts to be translated into reelection now with intermediate milestones. And we have mentioned many times the Italian case where you have a country that really, really have gone for it, but I think if these two directives come into finalization now, 2022, it will start to give real, tangible action and very clear targets.

Important, that's another topic, so the one issue we like is accountability and shorter-term targets and then getting going. The other aspect we have emphasized quite a lot is that you need to define renovation. You need to define energy renovation. And our view is there's no point to put a scaffolding up around a house and paint it and kind of miss the deep, deep energy renovation. And there, again, we are satisfied that people now start to have a clear definition of what deep renovation means, because that's what we need to do to have an impact on the climate.

And we define deep renovation as increasing the energy savings in a building with at least 60%. Improve the energy efficiency of a building with 60%. And on top of that, as always, we are driving a material with our product that is healthy, fire resilient, and circular.

And with that, I move on to the next slide, because the circularity of our product is one of its core strengths, and we have made a lot of progress on that front during 2021. We will come more into the detailed goals, my colleagues would present that soon, on how we are progressing, but basically, we are progressing really well against our intermediate goals. We have goals defined for 2022 and 2030 and 2034. And the 2022 goals, two of them we delivered already now. We have recycled over 650,000 tonnes of secondary raw materials. And that's a big increase compared to what we were a couple of years back. We are happy about that.

And just to give you a feeling on that. We tend to use SA units on that because we want to make it absolutely clear what it is we upcycle and recycle. And if I were to translate that into another popular unit, PET bottles, that is the equivalent of more than 80 billion 10 gram PET bottles that you put into recycling. And then you lose about 20% and then you get the 60 billion recycled that is equivalent to about 650,000 tonnes. So it's a really, really big number we are talking about that.

We have also announced several low carbon capacity expansions and also some conversions. We do emit a lot of CO2 in the traditional melting process and we are making quite good progress on that. And the latest projects we have started to work on is new greenfield in France, where we're going to go electrical melting based on renewable energy. And also Switzerland, where we have a project to replace an old melting process with a modern one and again called renewable. And that will drastically reduce our CO2 emissions.

Last year was a record year in terms of output. We have never delivered more stone wool. And this stone wool we delivered last year in 2021, every year that stone wool once it's installed will save the equivalent energy of 1 million homes. So it's quite substantial. And obviously if we keep doing that every year, of course, it lasts for a long time. So good, good payback on that.

On the taxonomy eligibility, there are some definitions and some classes of our products that are not included in the scheme. But we are on 85% that are taxonomy eligible. That's a high number. Traded goods and some goods have not been defined yet. So that number we expect to increase. So that's good progress.

We have also gotten a couple of awards. One from Ernst & Young award for long-term value creation. And we're also on the right, you see a building and that is built with ROCKWOOL insulation on [indiscernible] 00:09:15 where we've gotten a very good green certification award for it. So a rating. So all many positive aspects.

And with that, I hand over to Mirella.

Mirella Vitale

SVP-Group Marketing & Communications, ROCKWOOL A/S

Yes. So I will – a quick update on our sustainability ratings and indexes. In 2021, we saw a number of our ESG ratings improve, including Sustainalytics, ISSS, and CDP, which of course we're very happy with. Of course, they're not harmonized rating schemes and there's different waiting for the three areas, ESG, and different criteria within each of these schemes.

Of course, we -- it's -- they're not harmonized rating schemes and there's different waiting for the three areas, ES&G and different criteria within each of these schemes. And there's always -- not always -- it's not always easy to compare year on year because we see that these rating schemes are in continuous evolution and the methodologies are sometimes changing from one year to a next. But, in general, we see a positive trend and we are improving.

I wouldn't say that this doesn't change our approach to how we do sustainability. Our approach is always the same. We aim to improve across all the three areas. But we do expect that going forward we will see more harmonization across these schemes, not least because of the new Corporate Sustainability Reporting Directive that is being issued at EU level.

On top of that directive, we also see an EU initiative on substantiating green claims and that actually aims to create a standard methodology to assess the impact both of the company and the company's products. And we expect this to be published before the summer of this year. And also we hope that that will also facilitate our positioning amongst these rating schemes and create this more harmonized approach to how companies are reporting on the footprint and on the handprint side of their products.

Then if we go over to slide 7, our approach to sustainability, I won't go into great detail here. You've seen a lot of what we said in this slide before. However, it's important for us to underline that our sustainability reporting, our disclosures are always fact-based and our methodologies are backed up by third parties, and report has been again this year assured by a third party.

And as I mentioned before, we welcome and appreciate the EU initiatives to harmonize reporting and methodologies on green claims for companies. And there are several new initiatives that will influence this going forward, in particular, which is of main interest on us, waste, end-of-life emissions, and single-use plastics. One example of this is the sustainable products policy that will be – that is actually being issued next month, and then the extended producer responsibility. Again, all of these initiatives are geared towards creating a more coherent policy framework for reporting and hopefully will create a marketplace that is more conducive to circular products and recycling by empowering consumers and investors to really understand the full extent of what sustainability reporting entails.

Then for the update on our goals in slide 8, I will pass over to Anthony.

Anthony Abbotts

Director-Public Affairs & Sustainability

Thanks, Mirella. So in general, 2020 was a good year for progress on the sustainability goals. Just to recap, we set these goals back in 2016. Five of our sustainability goals have a baseline 2015 with time horizon 2030 and intermediate goals set for 2022, as Jens mentioned. Our safety goal is a 10% improvement on lost time incident rate compared to the previous year. So that's different to the other five. And we'll go into more depth with a number of these goals in the following slides.

But we'd like to make first a couple of remarks on two of them, CO2 intensity and energy efficiency in office goals. So if we take the CO2 intense – emission intensity goal first. Intermediate goal of 10% improvement by 2022. And already in 2021, we'd achieved a 16% improvement. Now, this is a relative CO2 emission goal.

So the metric is CO2 per tonne product produced. And how we achieved that 16% improvement, it's very much due to developments in melting technology using biogas and electricity.

If we take an example, in Denmark, through our conversion to biogas at the start of 2021, we've actually reduced absolute emissions since 2015 by around 70,000 tonnes and improve the CO2 intensity by around 75%. And this we've done whilst we've increased production by 20%. So, we're extremely happy with the performance there.

When it comes to energy efficiency in offices, we completed an additional five renovations of offices in 2021 and we achieved energy efficiency improvements in buildings of 70% and 80%. So, again, walking the talk and showing that it's possible to achieve energy efficiency levels for renovation at the same levels as new build. It's also a great opportunity for us when we're doing these renovations for our people to learn more about our products and to better understand how best they can be utilized in deep renovations.

If we go to slide 9, over to you, Jens, to maybe say a few words on our safety performance.

Unverified Participant

Yeah. Yes, I will do that. We came to 3.6 lost time incident frequency ratio, which is clearly above our goal. I define this goal and that the goal was to improve 10% every year. Wasn't maybe the right goal setting. 3.6 is not bad. We didn't have fatalities. There weren't many serious accident, but it's not good enough.

But I should say that when we look at the year we started off early in the year with relatively low loading because we did not expect such a record production year and top line year. And when we got into March, we then had to absolutely ramp up to full capacity in many, many factories. We brought in a lot of people. So I would say that if you take our operations, 80% of our operations are well below three. And then we had a couple of regions and areas when we did the ramp up we didn't quite manage. Should be said though that the difference between a 3.6 and a 2.1 in an operation could just be one small incident for someone to stay home a day. But we will not redefine the goal now. We will keep going to 2022 with this goal. And then we see if we redefine it a little bit and we are having a second look at how we can improve in this area.

Unverified Participant

Thanks, Jens. So if we turn to slide 10. Jens, already mentioned our efforts within circularity. So if we dig a little bit deeper into this one. The fact that that we recycle the most material in the history of the group, 650,000 tonnes of secondary raw materials, the fact that now we have improved the amount of stone wool collected and recycled through our Rockcycle systems by 56% in the last three years, very happy with that progress. And if you look at our recycling, then I think that there are a number of factors that have contributed to this ability to be able to take back more stone wool.

One of the factors is that we're constantly professionalizing our service. We're making it the standard in the market. If you – one example would be a regulation that was recently approved in the federal state of Berlin, which makes actually direct reference to our Rockcycle service as an applicable stone wool recycling service in connection to the renovation of buildings. So that's one factor.

Another factor is that our customers are increasingly rewarding us for this by choosing us as their preferred supplier and, not least, the fact that we've increased the number of countries where we offer Rockcycle. So, in 2021, we offered Rockcycle in additional 3 countries, and now we're at 17 countries compared to the intermediate goal of 15 countries by 2022. We think it's important to highlight that we stipulate a number of internal criteria before our business units can claim that they have a credible ROCKCYCLE service in place. So it's not a case of just being able to offer reclaim waste or reclaim material to one customer in one particular market and hey, presto, you tick the box and say that you have a ROCKCYCLE service. There's a number of criteria that we need to meet, and that criteria is verified by external auditors because it's extremely important for us that it's a credible offering to the market.

If we move to slide number 11. Two additional goals. One on landfill waste. So the waste that is coming from our factories and then water consumption now. Already in 2020, so two years before the intermediate goal of 2022, we met our goals for water efficiency in landfill waste. Our improvements increased in 2021, in particular for water efficiency. And now we're up to 15% improvement compared to the baseline 2050 – 2015. And this is particularly impressive when you consider that water is cheap and therefore there's a limited economic incentive to drive improvements.

On top of the 15% improvement, we've actually achieved a much higher efficiency improvement in those factories that are in water scarce areas. We have four of those factories and here the efficiency improvement was at 22%. Now, we've put in a number of different actions, different measures across the group to improve water efficiency. One of them that has had a significant positive impact is rainwater harvesting. And in 2021, rainwater harvesting represented 7% of our total group water consumption. In the last three years, our rainwater harvesting has increased by 40%.

With regards to waste from our factories, 50% of our stone wool factories now have fully closed loop stone wool systems. That means that no stone wool material other than our products, of course, is leaving the factory. And this is because of the inherent recyclability of stone wool.

If we move to slide number 12. Back in 2016, we set our CO2 intensity goal. And at that time, science-based targets weren't that well-known. We, of course, all know that there's a need to accelerate climate action. And that's why back in 2020 we added two science-based targets in 2020. Now, when you look at the performance in 2021, on the face of it, it doesn't look that impressive. You can see for Scope 1 and 2 that we had a regression of 1% for Scope 1 and 2 absolute CO2 equivalent emissions compared to 2019 baseline. And for Scope 3 emissions, you can see that we're at the same level as the 2019 baseline.

What's important for us here is to highlight that this should be seen in the context of a top-line growth in to 2021 of 19%. Of course, some of that 19% was due to price increases. But we're very happy with the fact that we've able - we've been able to keep our absolute emissions down, even though we have had this considerable growth.

Now, we have this 38% science-based target improvement for Scope 1 and Scope 2. That does not take into account emissions from growth. If we were to assume our CAGR going forward would be at around 5.5%, which is the same as the last 40 years, then the real reduction in emissions would be around 72%. So, again, it puts into perspective how impact ambitious this goal is. And we have, as Jens mentioned earlier, made aware to the market a number of low-carbon capacity expansions, conversions. And maybe, Jens, you want to comment on that.

A

Yeah. First of all, first of all, reflecting on that goal. With the growth, basically, to grow the company as we want to, I'm not, I'm not giving you a forecast whether it's 5.5% or 4% or more or less. But let's just assume it was what it was. It basically means that we need to organically grow and very significantly over these years until 2034 without adding any, any CO2 at the same time as we're dropping it and all the rest.

So this will require CapEx and it would require technology. And the technology we use is we have a couple of approaches to replacing melting with carbon based melting with the primarily is on electricity, renewable electricity. And also we have the example that it's an improvement to go from coal or coal to gas. And ideally, you want to go to biogas like we did in Denmark, and then you have zero CO2 emission from there. So that goal is a real big one and it will require a lot of engineering technology and also replacing some quite heavy assets.

So we have the program for how we do that every year. We have announced -- we announced three projects but there are two projects we work on at the moment. The one is in France where we want to expand and we put in electrical melting and big electrical matter in France. And also in Switzerland, where we have been for 40 to 50 years. We acquired the company on a few years back, but it has always been based on raw coal technology. And there, we are making the move now. We start into project soon. We have done the engineering, preparing everything and we want to actually take the melter out and put in a new one and then we reduced CO2 footprint with more than 80%.

We had another project, just to be clear on that in Vyborg and that that project we have cancelled now because there's simply not possible to execute on it. And we are looking for other melters in the group where we can replace. We just need to keep track and doing these investments now over the next 10, 15 years and greenify our footprint and reduce the CO2 footprint. Over to you.

Unverified Participant

Thanks, Jens. Thanks, Jens. So, if we move to slide number 13, a few words on our Scope 3 emissions. So, our Scope 3 emissions, they are approximately one-third of our total emissions. Now, when you look at most industries, the majority of their emissions lie actually in Scope 3. You're seeing some companies having 90% plus of their total emissions, total lifecycle emissions in Scope 3.

We have a much lower amount of Scope 3 emissions, and one of the reasons for that is actually that we have very low end-of-life emissions, so emissions from our material when it is disposed of. Now, that's in comparison, for example, with materials based on plastics that have significant emissions end of life.

If you look at an analysis from the International Energy Agency that was carried out by material economics, then they concluded the total carbon debt of plastic, so that's basically the embedded carbon in plastics produced annually. That's 1 billion tonnes, 1 billion tonnes, and that's equivalent to the CO2 emissions from aviation. So, it's a lot of emissions a lot of emissions.

Going forward, a number of initiatives will reduce Scope 3 emissions. For example, when we're driving the decarbonization of our own manufacturing sites, so reducing Scope 1 and 2 emissions, that will automatically reduce some of our Scope 3 emissions. You can see the category fuel and energy-related activities that will contract significantly through our efforts in Scope 1 and 2. We're also making efforts in other areas as well. You can see the example of decarbonizing our transportation. An example of using biogas fuel trucks to transport products to customers and construction sites in Denmark and Norway. And we'll be looking at expanding that in other geographies going forward. And then, of course, our increased focus on recycling will ensure end of life emissions remain low.

As we move to slide 14, which is the last slide within sustainability progress. A few words on our social and corporate governance. So if we start with diversity, we have set a goal to have between 25% and 35% females in middle management positions. And in 2021, this was at 28%, which is slightly higher than the previous two years. When we look at new hires, then this number is much higher. It's at 40%, 41%. Within business ethics, we've adopted a donations policy which specifies that we do not give any political donations in the group. And it also specifies, specifies an approval process for any donations. And the use of donations is reported annually to the Integrity Committee.

Whistle blower policy. That's been updated according to new Danish whistle blower law. This means that we will comply with the EU directive implemented in Danish legislation. And the procedures, our internal procedures, have been aligned with that legislation. This includes rules on anonymity, document storing, case deletion, protection of the whistle blower, etcetera.

And then finally, in the course of 2021, we've mapped our due diligence processes with a view to strengthening these. Also, in 2021, we've developed a governance model and a risk mitigation tool to address supply chain risks.

So, over to you, Mirella, for some words on EU policy development.

Mirella Vitale

SVP-Group Marketing & Communications, ROCKWOOL A/S

Okay. Thank you, Antony. I will start with the taxonomy eligibility. A quick update. In previous ESG calls, we disclosed the taxonomy eligibility of our insulation business as being 95% eligible, where the remaining 5% was mainly traded goods. In the 2021 annual and sustainability reports, it was the first time we actually disclosed taxonomy eligibility for the whole business in terms of revenue, OpEx and CapEx.

So, we -- here we have now calculated a minimum of 85% of the total business being taxonomy eligible. Of course, our dominant activity is the production of insulation and this fits into the category of manufacture of energy efficiency equipment for buildings. The remaining 15% covers activities where taxonomy criteria have not yet been developed or are, in fact, traded goods. So, our expectation is that we will see the 85% increase in the future.

Again, these directive and policies are all under development. They're being updated continuously. So we will continue to work with the entities and third parties to ensure that our calculations and methodologies are robust.

Then if we go to slide 17, as Jens has mentioned, the two most important directives for ROCKWOOL business in the Fit for 55 package are the Energy Efficiency Directive and the Energy Performance Of Buildings Directives. These are currently under revision. There's been a consultation process, but we do expect to see a final version actually released and approved before the summer of 2022. So it will take place this year.

In this slide, as I said, we're showing what the first proposal from the commission has been. It was already considered by us quite a favorable position for insulation. However, in February, the rapporteur who's leading the negotiation for the Energy Efficiency Directive released an updated report which actually advocates for much more ambitious targets. For example, the higher energy efficiency goal is expected to be upgraded from 36% to 42%, and it would be a binding goal. This is the proposal that was released. With regards to 3% renovation rate for all public buildings, here, the definition of public buildings is has been requested to be updated, so that includes all social housing, whether it is government owned or not. And then the annual savings target where the commission initially proposed a 1.5%, has now been recommended at a 2% annual energy reduction.

And this is all of these calculations have been made by the rapporteur and his team with a very robust methodology that shows that if we are to meet the Paris Climate goals, we need to be more ambitious in the energy efficiency targets, and we need to really propose the energy efficiency first concept. With regards for the energy performance of buildings directive, again, here, we see a very positive outlook, but above all, we see a positive outlook in the long term where we actually get insights into how this will develop to 2050. The current proposal is that all buildings in Class G are to be renovated by 2030, and this would mean 15% of the entire building stock in the member states. All buildings in Class F would be renovated by 2033, and member states would already now be required to set up a very detailed plan on how they will reach a zero-carbon building stock by 2050.

Of course, as Jens was mentioning before, we expect that when a building is being renovated from a Class G that they will go for a deep renovation, because it wouldn't make economic sense to just jump one class when you already have the scaffolding and the workforce available at the building. So, our expectation is that we will probably see buildings jump two or three classes when they, in any case, are going for this renovation.

Funding, if we go to slide 18, funding has always been a topic of discussion when it comes to renovation. So, before the directive was released, we actually commissioned a public polling so that we could actually see what consumers were saying with this regard. We published the report while we were at the COP in Glasgow last year. The polling was executed for us by a UK-based group called OnePoll. And they survey 2000 people in Denmark, France, Germany, Italy, Poland, the UK, and then we also decided to include the US, even though they don't fall obviously under European legislation, we see many states in the US pushing for renovation as a way to kick start the economy after the pandemic. And, of course, succeed in lowering CO2 emissions.

Before we did the polling, as I said, we had the strong impression that the challenge with accelerating the renovation rates wasn't so much linked to the lack of funding, but a lack of ability to access the money. Planning and delivery capacity also was being considered a big barrier. And it is important that countries that have ambitious goals like the UK Green Homes Grant, actually have the programs that help the people access the funding, find qualified workers, and be able to do the paperwork that surrounds this. These impressions were confirmed by the polling.

We saw big public support for renovation. We saw public support towards implementing minimum energy performance standards. But they -- we also saw that people were really challenged in understanding how all these directives came together and how to access the funds. I think that Jens was on a panel in at the COP with one of the leading banks that actually had set up a system for consumers to access grants to renovate their homes. And they actually found that they only had two requests coming in in the entire year and couldn't understand why all these funds that that were being made available were not being accessed. And it was just a lack of awareness and a lack of knowledge.

So, it's not surprising that the highest support that we saw from the general public and consumers was Italy, where Italy scored the highest because there has been a really full campaign from the Italian government to work with renovation and renovation schemes, and we'll go into a little bit more detail in the next slide.

to work with the renovation and renovation schemes, and we'll go into a little bit more detail in the next slide. In contrast, Denmark, actually, the general public that we that we polled in Denmark actually scored the lowest because we feel that the -- probably the focus has been much more on supply side solutions rather than energy efficiency itself. So, as mentioned, we strongly believe that having incentive schemes that are well-publicized, but also well established with the technical support, are a necessity in order to meet the renovation wave goals.

If we go to slide 19, we we've talked a lot about the Italian scheme. It was launched in 2020, but it took some time for both the demand and supply side to get organized. It also took some time to get the qualified workforce in place or training for workforce because it's not a country that has necessarily had a tradition, in particular, for insulation of the buildings.

So, we saw, we saw an increase in our business in the second half of 2020 when it was released. But the program has just accelerated massively in 2021. And the data that you see that we have in this slide is actually official data released from the Ministry of Economic Development in Italy and the Environmental Ministry.

So, you will see that tax incentive-based funding in 2021 increased from DKK 28 billion to DKK 51 billion. DKK 2.2 million funding applications were submitted in 2021. This is a 34% increase compared to 2020. What is very interesting here is that when we look at how the funding applications are distributed across the country, it is almost equal between north central and south Italy, again, which very much follows our policy that and our principle that energy efficiency really has no geographical barriers and can be equally distributed across any nation.

So but still, one of our biggest concerns in Italy and, of course, job creation, which I forgot to mention. The government estimates 765,000 new and retained jobs under the incentive scheme. So these are additional jobs to people that who are already working in the construction industry. And of course, this includes direct and indirect workers. So also the supply chain in the construction industry. The direct jobs are calculated to be 510,000.

But when we look at Italy, Italy is traditionally a plastic phone market. So one of our biggest concerns in the Italian market, and this will lead us into slide 20, is that while we have a very good scheme for energy efficiency and we have an incentive scheme in place, we still need to make sure that we drive fire safety. And the picture that you actually see in slide 20 is a fire from last year in the city of Milan, which was a tower where luckily there were no fatalities because it was a Sunday summer afternoon where most people were not at home. But buildings, they need to be energy efficient. They need to be circular, but they need to be fire resilient. It is important that we don't create a new Grenfell when we're looking at these new renovation schemes.

As you all know, by 2050, almost 70% of the global population is expected to live in cities. This means more high-rise buildings. And in today's reality, more high-rise buildings that are in need of renovation. Therefore, we are working on a new technical regulation that is currently under evaluation in Italy. Again, this was -- the reason this is up for discussion in Italy was after the fire in Milan. Just a couple of months before the fire, the government had actually submitted an updated policy already sent to the European Commission, which was later withdrawn because it didn't reach the expected fire safety standards.

So, again, an opportunity for us to work with the authorities to improve the legislation, but disappointing that it has to actually take a fire for people to consider readjusting the standards and norms. There's ongoing discussions with the government in Netherlands, which also has a tendency to have a weaker fire standards, and this is -- continues to be a very important part of our policy work, because, again, renovation, we advocate for renovation and deep renovation, but it needs to be fire safe, durable, and circular renovation so that we're not actually creating a problem for the future generations or safety.

Then, I will pass over to Anthony to do a quick wrap up and a look into the future.

Anthony Abbotts

Director-Public Affairs & Sustainability

Thanks, Mirella. So, if we look ahead to the rest of the year 2022, and we're on slide 22, regarding our six group sustainability goals, as previously mentioned, we've already met the intermediate goal for four of them. And now, it's all about getting across the line with the remaining two. For safety, we believe it's achievable to improve our 21 safety performance by 10%. And as Jens mentioned, we've initiated a number of measures to support this.

With regards to the energy efficiency in office goal, we need to improve by an additional 16% to achieve the 35% target. It's going to be tough, but it's achievable. We have currently 11 renovations underway and we'll be doing utmost to complete these before the end of 2022.

Going forward, we're going to be investing up to €100 million and sustainability investments on an annual basis. In 2021, we invested just over €90 million. The impact of a number of conversions will start kicking in in 2022, such as the new electric -- electrified factory in China. We're going to continue to drive our circularity initiatives, expanding our ROCKCYCLE offering to more countries and/or increasing reclaimed material volumes. And finally, and not least, increasing number of factories that have fully stonewall closed loop systems.

And then finally, in 2023 for the financial year, 2022 will be disclosing the taxonomy alignment of the whole business. So building on the taxonomy eligibility assessment that we conducted for 2021. This is going to be based on a do no significant harm assessment, and our initial screening indicates that there will be no issues with that.

So if we just go to slide 23, questions part over to you, Thomas.

Thomas Harder

Director-Group Treasury & Investor Relations, ROCKWOOL A/S

So now we are ready for questions. So, operator, please take over.

QUESTION AND ANSWER SECTION

Operator: Thank you.

[Operator Instructions] And we ask, in the interest of time and fairness, if you can limit yourself to two questions per person. Our first question comes from the line of [ph] Rajesh Shiah 00:47:23 of HSBC. Please go ahead. Your line is open.

Q

Thank you. Thank you for the presentation. So, I have two questions. So, first one is on recycling. You talked about a 56% increase in the two years to 2021. But if you look at the number of countries speeding up, kind of expanded, it's a similar percentage increase. My question is, are you using the existing country where you represent in 2019 itself, an acceleration, or this increase is primarily driven by your expansion of the coverage? So, just to understand how the market is reacting to your offering.

And the second question, if I may, is on Russia. You helpfully told us that you are kind of cancelling the expansion plan. If you could kind of give us a little more flavor about how the market dynamics are right now and what's your plan? I mean, we have been hearing in the market that if you few companies have kind of stopped the Russia operations and the sales. Any color around that and – will be really helpful. Thank you.

A

Thanks, [ph] Brunesh. 00:48:44 So if we -- I'm never in doubt that you'll come with a very good, good question on circularity and recycling. So, you didn't fail either on this occasion. So, thanks for that. Valid question. So, in terms of increasing our reclaimed material volumes, then, of course, we have countries where we have built up the service over many years where the markets are far more mature, Germany, Denmark, France, and our expectation going forward will be also because of regulations in these countries that it's – where it's making it more and more difficult to dispose of recyclable products in landfill, then we will expect that the volumes will particularly increase in those countries.

Of course, when we're starting to offer services in new countries, there's a certain level of ramp-up time. You know, what we want to do is send the signal in the particular market that we can do this, that we can take the material back, but sometimes, the conditions in those markets aren't that conducive to bringing material back. For example, landfill prices can be extremely low, and therefore, there's no economic incentive to bring the material back. So, your question – the answer to your question is that we would expect the volumes to increase, particularly in the more mature markets.

A

Okay. So, on the Russia question, when we decided to do the expansion in [indiscernible] 00:50:28, we had a different situation and then obviously the last seven days has us radically changed, so we've just taken the consequences of that and stopped the project and taken the engineering resources of it, and they could focus on something else.

In terms of our operations in Russia, we have very substantial operations. They're making obviously stone wool and saving CO2 and all the rest. And in line with our family culture and trying to keep steady, we want -- we don't want to punish our employees by taking short-term decision on shutting down its business in Russia for Russia. And we -- these people need to earn a living and we want to continue without them. We are committed to that approach. And they took the same approach during Corona and tried to keep the business running. And we do also that here, and that is in line with our family values. And it also, in a way, is a success that when we do this because we keep people on producing strong. Yeah.

So in terms of market, Russia is has been doing well as the rest of Europe. We have grown the market on to now on this obviously seven or eight days into the war on the ground in Ukraine. And we haven't seen anything, but we see obviously the ruble depreciating. We have seen our interest rate drastically increase. And I think it's a fair assessment that later in the year or in a month, I don't know, it's very hard to assess how all the things will impact the market there. We could expect the market to slow down. Again, there could also be another scenario that there is a resolution on and the worst stops. But I mean, we are not speculating in to that. Our approach is just to keep our people safe in Ukraine and also Russia and continue to operate our factories in Russia.

Q

Thank you very much.

Operator: Thank you. Our next question comes from the line of Yuri Serov of Redburn. Please go ahead. Your line is open.

Yuri Serov

Q

Yes. I have one question please. So, on your page 12, you showed that Europe, France plan is going to deliver the product with a reduction of CO2 emissions by 70% in Switzerland through funding, a reduction of 80%. And then when you were talking about your targets in 2034 and accounting for the volume growth, you said that the effective target should be more than 70% reduction in CO2 on the per volume basis. This suggests to me that in order to achieve this sort of conversion of your plants to electricity by 2034, you need to convert 100% of your plants to electricity.

First question, is this a fair conclusion? And then secondly, if that is a fair conclusion, why don't you manage this process and make announcements to the stock market by actually setting targets up? How many plants you're planning to convert by which year, I don't know, 50 by 2028 and so on? And what percent?

A

Yeah. It's a good observation and I actually answered that question before. It's too early to do it because we are still working on some other technologies that we are testing, prototyping, and there are also other parts of the plant where we are working on some new approaches. And, therefore, we don't -- and that will impact CapEx and all the rest. So, therefore, I still see it as a -- I mean, it's not too early to say I could be putting €100 million into this every year into sustainability. And but there are other things you can do with the plants, too. And therefore, we don't want to make a 10 or 15-year program now. We have just flagged but we're going to keep investing in it and

we've to reach the target. But some of the technologies move forward as we speak. And we are prototyping things. We are developing things. That's why we don't make the 10 or 15-year old prediction. Okay.

Q

Okay.

A

And you are some -- and your assumption there that we have to convert to 100% and that due to that there are other aspects of the manufacturing that also have CO2. You know, we could decide to do that, but we don't have to do that. Just to be clear.

Q

Okay. I presume that you don't want to talk about these other technologies now. But I wonder, would you think that the electrification is still be the main driver of this, of this effort?

A

That's right. The electrification is the main driver, for sure. And it's just the point of doing it if you can get green electricity. So one of the constraints, obviously, will be to have access to renewable green electricity, and that's part of the plan. So, the number of plans per year in the base stage now, we also prototyped some technologies. We have a relatively clear view on that. But then, exactly where you do it will have to depend a little bit on grid connections and other aspects, and the fact that you need access to green electricity. So we work on several upfronts so that we have those preconditions in place.

It's no point of going with an early conversion in a country where we just have black electricity.

no point going with an early conversion when it comes to [indiscernible] 00:57:02 black electricity. Yeah. And that's why we don't make -- we commit to the goal, and we're going to make progress. As you saw, we made tremendous progress last year, and we keep investing towards the goal, but we don't want to tie up in a plan where it's going to change a lot along the way, although we don't want to miss the goal. Okay?

Q

Okay.

Operator: Thank you. And we currently have one further person in the queue, that's Cedar Ekblom of Morgan Stanley. Please go ahead. Your line is open.

Q

Thanks very much. It's a further question on circularity. Do you think it makes sense for Rockwool to be investing in the actual sort of collection network capacity? Does it make sense for you to actually become the recycler of building materials? Is that necessary to accelerate the sort of recycling rates within your organization? Thanks.

A

Yeah. It's a very good question, Cedar. We are quite capital intensive as it is. And when we configure a plant to be able to take in, I mean, 650,000 tonnes is a lot of material to handle, and we put priority on preparing the factory so we can deal with the incoming. And then, for the rest, we prefer to have partnerships. And when you think about the volumes that, you know, 30% of the global waste on the planet comes from construction, we believe that there is a big room for players to establish businesses there. And there are players. If you look at Norway, there are two companies that are well-established that we actually worked with to do the circularity. So, I think you're going to see a whole industry come up there. But at this stage, we don't have any plans to go in with CapEx and investment there other than on our site and equipment to deal with our own waste because we think we should focus our firing power on new capacity and gratification on the capacity we have.

Q

That's helpful. Thanks very much.

Operator: Thank you. There are currently no further questions in the queue. [Operator Instructions] And okay, there's been no further questions coming through. So this now closes the Q&A session. I'll now turn it over to your hosts for the final remarks.

Unverified Participants

Thank you. Ladies and gentlemen, we would like to thank the equity analyst for all your good questions and the audience for listening in on today's call. We appreciate your interest in Rockwool. If you have further questions, please feel free to reach out to me, Thomas Harder or Anthony Abbotts. You know our contact details or you may find them in the investor section on the corporate website. Jens, Mirella, Anthony and I would like to thank you for joining today's earnings call. Have a great day.

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